

What I will do in this book is introduce developers to some of the most common business applications he or she may run into. I will also identify some terms that have special meaning so that, when one client explains that the repair parts can be “LIFO” but the new cars better be “specific-id” and another client wants to convert from “weighted average” to “FIFO,” the developer will understand that the clients are actually talking about inventory reporting.

In the first chapter, I would like to explore some fundamental accounting concepts and definitions. While it is not my intent or desire to have developers study for the CPA exam, it is my hope to allow them to understand what the client means when terms such as debit, credit, and out of balance are discussed.

Basic Accounting Background

Accounting begins with one simple concept which is as fundamental to accountants as the DO WHILE loop is to programmers. This concept is that all businesses have assets which are funded by one of two sources: the business owners (equity) or the company’s creditors (liabilities). Another view of this concept is the equation:

$$\text{ASSETS} = \text{LIABILITIES} + \text{OWNER'S EQUITY}$$

An accounting system, therefore, provides a method of record keeping that allows the user to track business activity and to record each transaction's impact on the above equation. To achieve these objectives, the system uses two primary repositories of information: the Chart of Accounts and the journals.

Chart of Accounts

The Chart of Accounts is an itemized list of assets, creditor bills, and owner's equity in the business that need to be tracked by the system. Each item in the chart is generally assigned an account number and a descriptive name. In addition, each item has a dollar balance associated with it. The account numbers assigned usually designate some sort of grouping of the accounts. All assets, for example, might begin with the number one while current assets range from 1,000 through 1,500. For example, if the business owns a computer setup worth \$5,000, then its entry in the chart of accounts might look as follows:

Table 1: Computer Asset in Chart of Accounts

Account #	Description	Type	Balance
1750	HP Server, Router, and two workstation computers	Asset	\$5,000